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Blog

The Feed-In Tariff for Solar PV in Los Angeles To Be Updated

CHAZ WILKE ([HTTPS://SOLARMEHOME.COM/AUTHOR/CHAZW/](https://solarmehome.com/author/chaZW/)) / MARCH 12, 2015 ([HTTPS://SOLARMEHOME.COM/THE-FEED-IN-TARIFF-FOR-SOLAR-PV-IN-LOS-ANGELES-TO-BE-UPDATED/](https://solarmehome.com/the-feed-in-tariff-for-solar-pv-in-los-angeles-to-be-updated/)) / [LEAVE A COMMENT \(HTTPS://SOLARMEHOME.COM/THE-FEED-IN-TARIFF-FOR-SOLAR-PV-IN-LOS-ANGELES-TO-BE-UPDATED/#RESPOND\)](https://solarmehome.com/the-feed-in-tariff-for-solar-pv-in-los-angeles-to-be-updated/#respond)



Los Angeles, the sprawling city by the sea, has an abundance of rooftops, but few that have solar panels. One factor that may change the rate of adopting solar panels in LA is the city's feed-in tariff program, which is planned to end in early 2015 (<http://bit.ly/1AiikE3>). Now, with a chance of re-vamping the current policy, Los Angeles stands at a solar-powered crossroad.

What is a Feed-In Tariff program?

A Feed-In Tariff (FiT) program allows property owners to become miniature power plants. With rooftop-installed solar panels a property owner can generate and sell unused electricity back to the grid.

In 2013, Los Angeles instituted "the nation's largest rooftop solar Feed-in Tariff (FiT) program, enabling hundreds of building owners to create solar power plants on their rooftops and sell solar power to the Los Angeles Department of Water and Power (LADWP) for distribution on the city's power grid," says an announcement from the Los Angeles Business Council (<http://bit.ly/1Bx6ZEo>).

At the time, Mayor Villaraigosa was proud to call LA's FiT program, "the largest offered by any city in the nation." Adding, "The FiT program takes advantage of LA's abundant sunshine to spur new private sector investment that will create jobs and decrease our city's reliance on dirty fossil fuels."

And for the past two years, the FiT program has performed well. However, this program has an end date that is rapidly approaching. Now, the FiT program needs to be renewed for another round and it might just get a few updates along the way.

Updating the Feed-In Tariff Program

“For the [previous] FiT, LADWP [signed] a standard offer contract of up to 20 years and [purchased] the clean, renewable electricity produced from each qualified project at 16 cents/kWh,” reports *CleanTechnica* (<http://bit.ly/1GwUoAB>), a leading clean energy blog.

Other FiT programs around the country have matched the market rate for selling electricity back to the grid. Los Angeles' FiT program puts the sell-back value of clean energy significantly lower than market value. At 16 cents per kilowatt-hour (kWh), Los Angeles is undercutting the value of solar generated power below the average market value of energy that sits at 21.6 cents per kWh (<http://1.usa.gov/1b5MO6u>) in January 2015. It remains uncertain if the amount offered will change with the updated 2015 FiT program.

To be fair, keeping the value of private electricity generation the same as the utility market prices is destined to not last. The costs involved in grid upkeep and paying the workforce would demand a higher total price for electricity generated through the utility. But, it appears the heyday of pumping out clean energy from home and receiving a check for the market cost is behind us in L.A.

Takeaway

The updated FiT program will likely help fulfill Los Angeles' previous mayor's 2009 edict to move Los Angeles beyond coal-generated power by 2020 (<http://reut.rs/1GwUBny>). This will be a big step in helping Los Angeles with its decades-long fight with air pollution. This will also help push Los Angeles closer to being an environmental leader, which should come as welcome news for its environmentally conscious population.

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